STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

BNP Paribas

Euronext Paris: BNP · Financials / Banks · France

A 13% return on tangible equity priced at 0.9x tangible book: the French discount has gone too far

OVERWEIGHT Medium conviction

Price	**€87.65**
Target (base case)	**€103.89**
Upside / downside	**+19%**
Horizon	**12 months**

Price: close, 29 Oct 2026

€96bn
Market cap

13.2%
RoTE, 9M 2026

7.1x
P/E 2026e (consensus)

6.8%
Dividend yield 2026e

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research for educational purposes, not investment advice

A 13% return on tangible equity priced at 0.9x tangible book: the French discount has gone too far

OVERWEIGHT

€103.89

base-case value, +19% vs €87.65

BNP earned a 13.2% return on tangible equity over the first nine months of 2026, ahead of its own 12% target, yet trades below tangible book because the market treats it as a proxy for French sovereign risk. With CET1 at 12.9% and a €1.3bn buyback starting, we see value in the gap.

1 Returns are ahead of target

9M 2026 RoTE of 13.2% and a 59.0% cost/income ratio beat the 2026 targets (~12% and ~60%). In February 2026 the bank raised its 2028 targets to RoTE above 13% and cost/income below 56%.

2 The price is a sovereign discount, not a bank discount

Shares fell about 20% in the three months to late October 2026, to a 28-week low of €85.35, with no company-specific cause found, while French 10-year yields reached ~4.9% and the OAT-Bund spread ~155 bp. French government bonds held total about €19bn, €16bn of them at amortised cost.

3 Capital comes back to shareholders

2026 payout of 60% (at least 50% dividend, 10% buyback), a €1.3bn buyback from November 2026, and from 2027 the distribution of CET1 above 13%. A new 2030 plan is due on 2 February 2027.

BNP Paribas at a glance

Commercial, Personal Banking & Services

Retail networks in France, Belgium, Italy and Luxembourg, Europe-Mediterranean, plus Personal Finance, Arval (car leasing, Athlon acquired July 2026) and Nickel.

Corporate & Institutional Banking

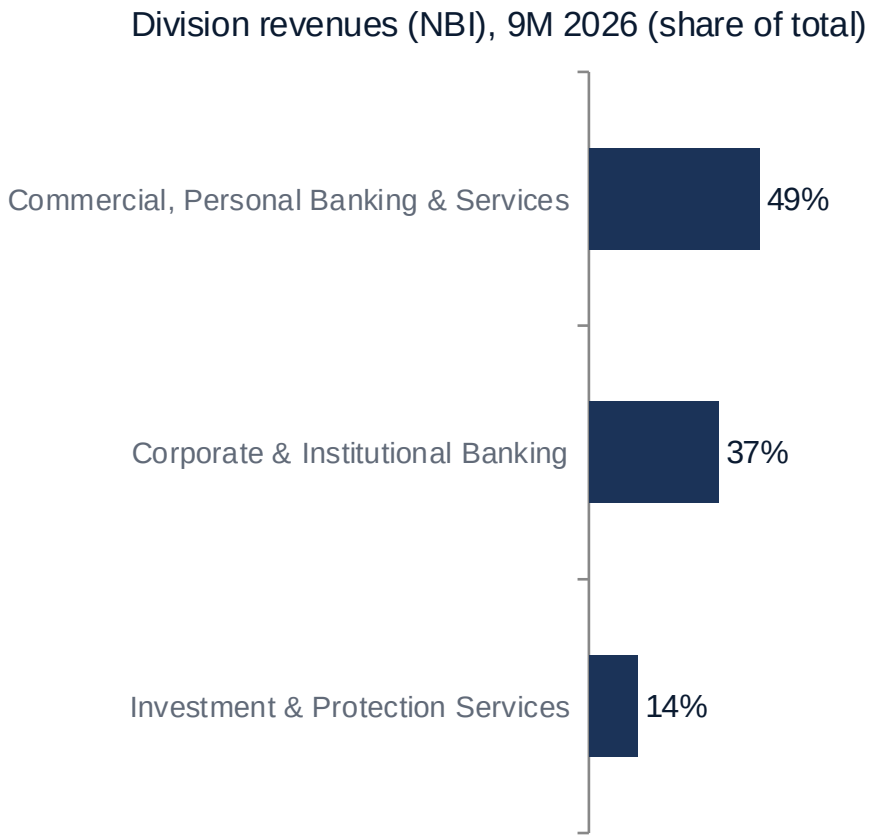
Global Banking, Global Markets and Securities Services; the bank describes itself as the leading EMEA investment bank.

Investment & Protection Services

Insurance, Wealth Management and Asset Management, including AXA IM, consolidated since July 2025.

Capital

CET1 12.9% at September 2026, against a 10.45% requirement; guided above 13% at end-2026.



Source: company filings; Division revenues (NBI), 9M 2026

What moves the stock beyond the company

~4.9% — **French 10-year yield**

Political and budget uncertainty pushed French yields up in 2026; French banks trade as a proxy for the sovereign.

~155 bp — **OAT-Bund spread**

A wider spread raises funding costs and the discount investors apply to French financials.

~$115 — **Oil and inflation**

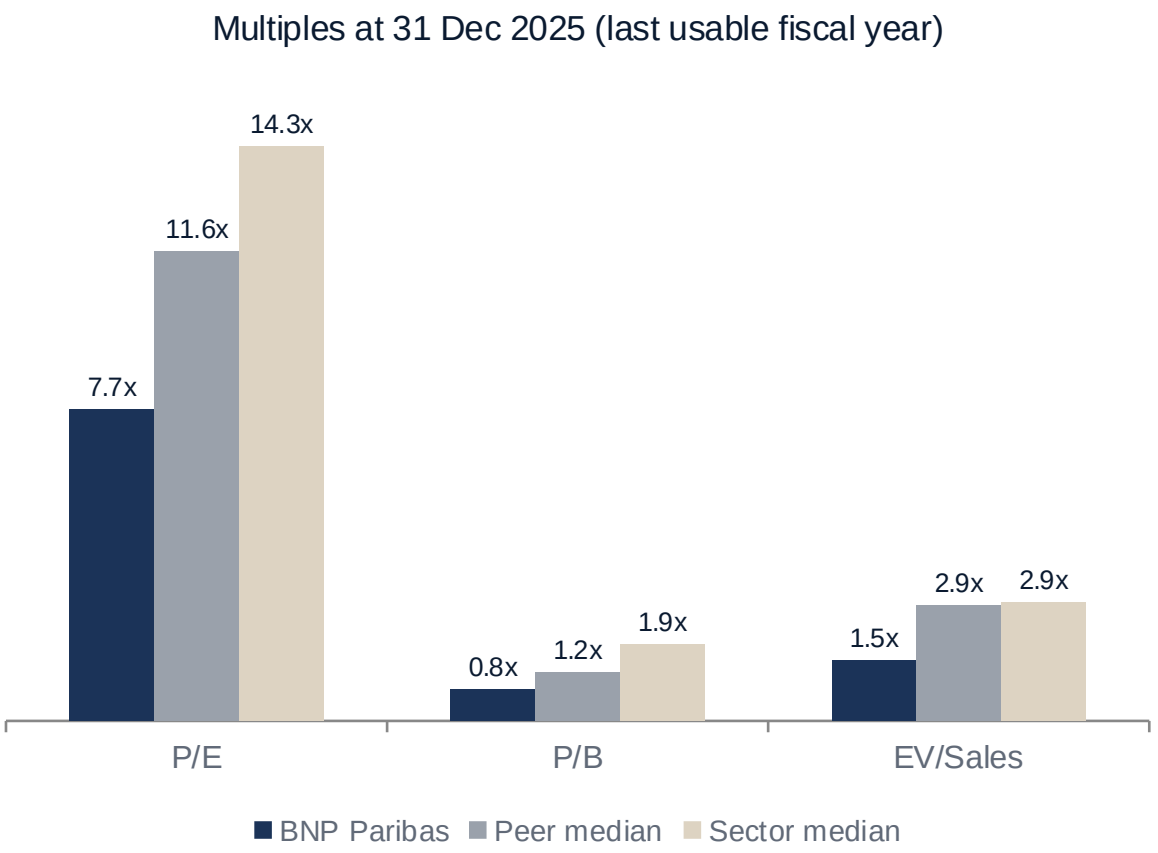
Brent around $115 a barrel with the Middle East conflict: a risk to credit quality and to rate expectations.

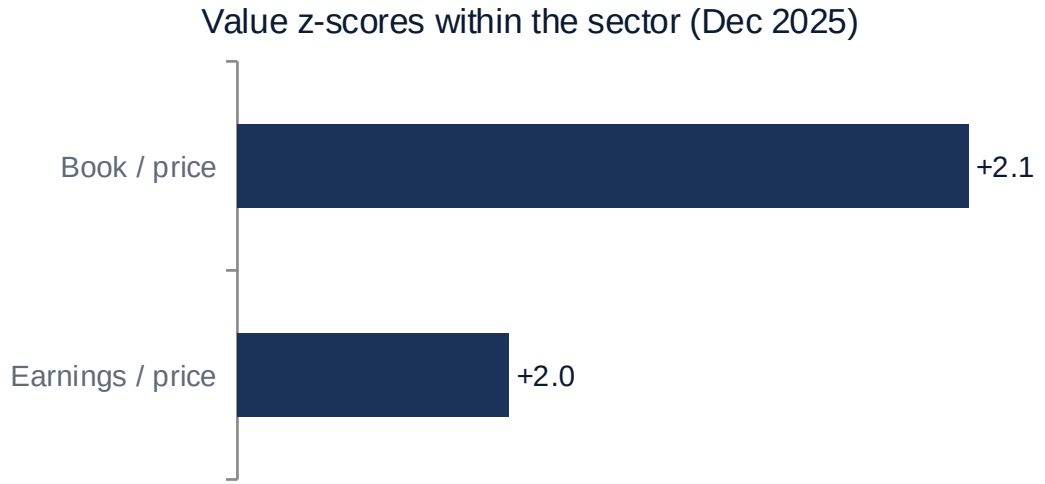
39 bp — **Cost of risk**

Q3 2026, at the top of the <40 bp guide. Arval used-car prices are the visible pressure point.

Source: company releases and research brief (see Sources slide)

Ranked 5 of 203 in Financials on our value score

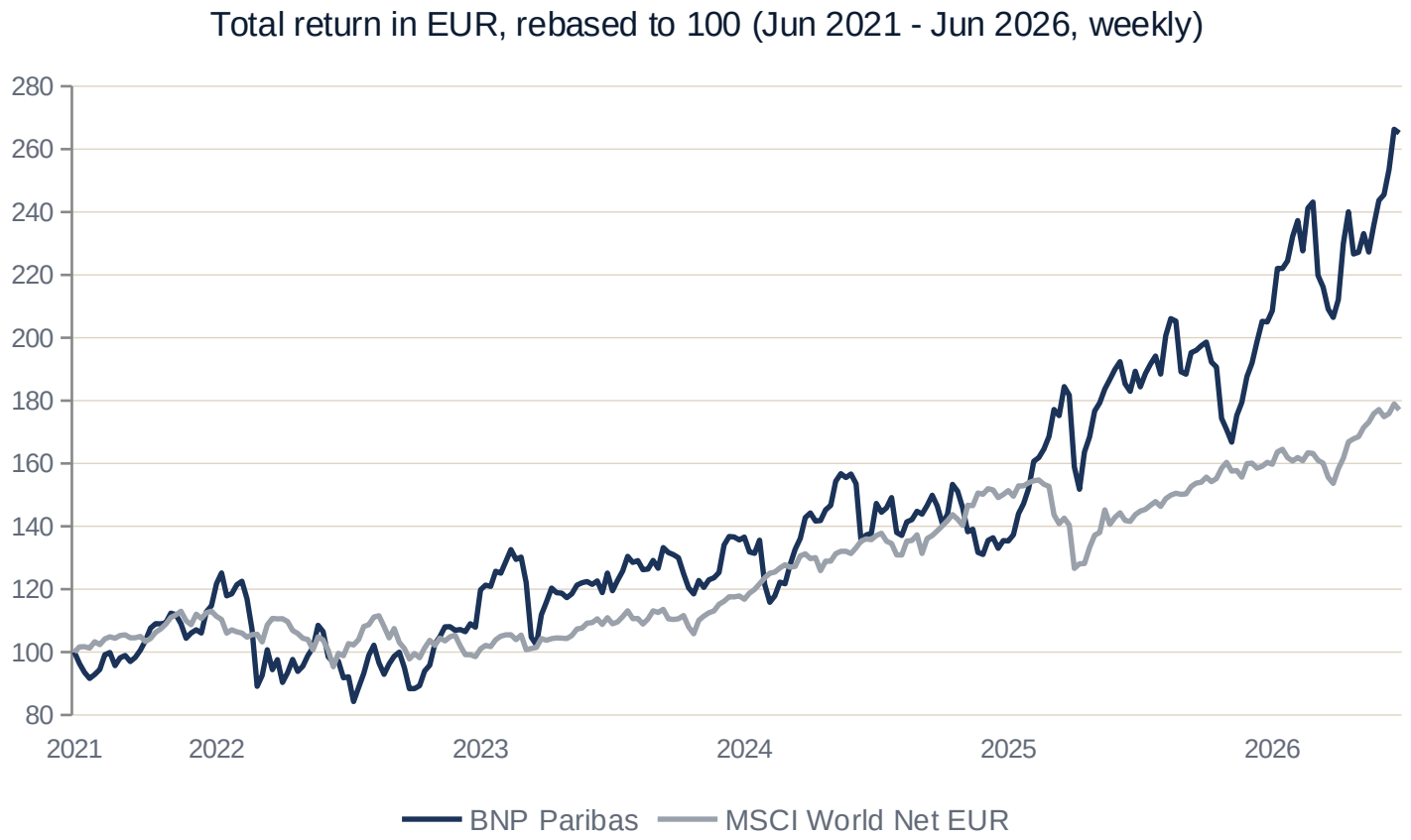




Composite score 2.02, rank 5 of 203 in its sector. The score averages the z-scores above (financials use book and earnings only). Accounts are used only from fiscal year end + 6 months, so in December 2025 the screen read the accounts for the fiscal year ended December 2024.

Source: Portfolio Project pipeline (Bloomberg data); peers: Société Générale, Crédit Agricole SA, Deutsche Bank, Santander, ING, UniCredit (pipeline peer set).

Held at 1 of 10 rebalances since December 2025



+26.2%

H1 2026 return (EUR)

+10.8%

MSCI World Net EUR, H1 2026

2.0%

Weight, equal weight

0.5% / 4.0%

Min-variance / mean-variance

Source: pipeline weekly total returns (EUR, net of withholding tax) and portfolio weights at the 31 Dec 2025 rebalance

Reported numbers and guidance

	FY2024	FY2025	9M 2026	2026 target
Revenues (NBI)	€48.8bn	€51.2bn	€41.9bn	> 5% CAGR
Cost / income	—	61.2%	59.0%	~60%
Cost of risk	—	36 bp	39 bp (Q3)	< 40 bp
Net income, group share	€11.7bn	€12.2bn	€11.0bn	> 7% CAGR
Return on tangible equity	—	11.6%	13.2%	~12%
CET1 ratio	—	12.6%	12.9%	> 13% (end-2026)
Dividend per share	—	€5.16	€3.23 interim	payout 60%

FY2024 figures derived from the 2025 growth rates reported by the bank. RoTE methodology changed in Q4 2025. Sources: BNP Paribas FY2025 and Q3 2026 releases.

07 VARIANT PERCEPTION

Where we differ from the market

WHAT THE MARKET BELIEVES	OUR VIEW
“BNP is a leveraged bet on France”	Three of its four retail home markets are outside France, CIB is the leading EMEA investment bank, and IPS adds fee income. Earnings are more diversified than the share price implies.
“Trading revenue is at a peak”	Global Markets is strong (+21.9% in Q3), but the RoTE target was beaten even after €408m of restructuring costs.
“The Sudan litigation is an open-ended liability”	It is real and unprovisioned; we treat it as a tail risk that the appeal (2027) will clarify, and keep the position sized accordingly.

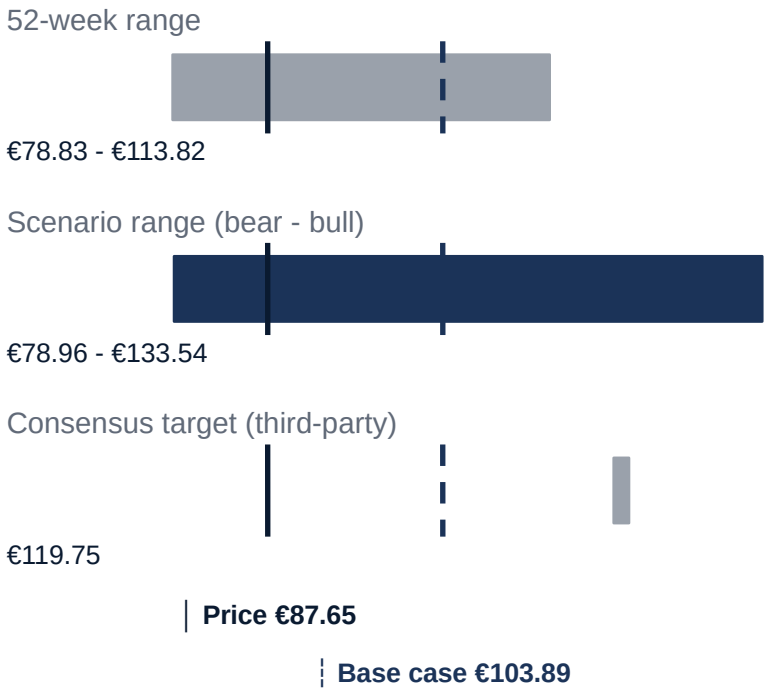
Base-case value €103.89 per share, +19% vs today

Method: Justified price to tangible book (Gordon growth)

Scenario	Key inputs	Value / share	vs price
Bear	RoTE 10.0%, CoE 12.0% → 0.80x TBV RoTE slips to 10%; French spread widens	**€78.96**	**−10%**
Base	RoTE 12.0%, CoE 11.5% → 1.05x TBV RoTE at the 2026 target; spread stable	**€103.89**	**+19%**
Bull	RoTE 13.5%, CoE 10.5% → 1.35x TBV 2028 targets met; spread normalises	**€133.54**	**+52%**

A bank is worth (RoTE − g) / (cost of equity − g) times its tangible book. We use the third-party tangible book per share of €98.7 at June 2026 (third-party estimate: the bank's release does not state it), long-term growth of 2%, and a cost of equity that falls as the French risk premium normalises.

Valuation range



Source: own valuation; 52-week range and consensus from third-party data (29 Oct 2026)

09 CATALYSTS

What could move the stock in the next 12-18 months

Nov 2026

Launch of the €1.3bn share buyback (about 1.4% of market cap)

Q4 2026

Closing of the BMCI sale (+15 bp CET1); CET1 above 13% at year-end

2 Feb 2027

2030 strategic plan with new RoTE and distribution targets

2027

Second Circuit ruling on the Sudan appeal; Allfunds offer (~€400m gain if completed)

May 2027

AGM and final 2026 dividend

The number to watch: 2026 RoTE below 12%, or 2028 targets cut in the 2030 plan

Risks, mitigants and what would make us sell

Risk	Mitigant
French sovereign and political stress	Diversified earnings; French bonds held mostly at amortised cost (€16bn of €19bn)
Sudan litigation, no provision booked	Appeal pending; position sized below the 4% cap
Normalisation of trading revenue	Targets beaten even after restructuring costs
Cost of risk above 40 bp	Stage 3 ratio 1.6% with 67% coverage

WE SELL IF

- 2026 RoTE below 12%, or 2028 targets cut in the 2030 plan
- CET1 below 12.5%, forcing smaller buybacks
- An adverse Sudan ruling with a material provision

Sources

[B1] BNP Paribas, "Third quarter 2026 results" press release, Paris, 28/10/2026

[B2] BNP Paribas, "4th quarter and full year 2025" results press release, 05/02/2026, via WebDisclosure

[B3] Sudan litigation: BNP Paribas statement, 08/01/2026

[B4] MarketScreener, BNP Paribas finances/consensus page, data 29/10/2026

[B5] Teleborsa, Q2 2026 results summary, 23/07/2026

[B6] StockAnalysis, BNP Paribas statistics, data 29/10/2026

[B7] Ideal Investisseur, BNP Paribas stock page and news feed, data 29/10/2026

[B8] KoalaGains, BNP fair value page (third-party TBVPS, Q2 2026)

[B9] Trading Economics, "BNP Paribas shares hit 19-week low", 08/10/2026 (and 22/10/2026 update, market data panel)

Portfolio Project pipeline: scores, multiples, weights and returns computed from Bloomberg data extracted on the SKEMA terminal (Oct 2026).

Disclosure: student research prepared for educational purposes and job interviews. It is not investment advice or a solicitation. Third-party market data (prices, consensus, forward multiples) is labelled and was accessed on 29 October 2026; third-party figures should be checked against company filings or a Bloomberg terminal before use. Backtest results are hypothetical.